ABC News; Westpac IQ
Thursday 12 November 2026

Has the RBA reached its peak? Economists weigh up the fifth hike

> A week after the Reserve Bank lifted the cash rate to 4.85%, ANZ now expects a pause, but warns another rise cannot be ruled out.

WHAT HAPPENED

- On 3 November the RBA raised the cash rate by **0.25 points to 4.85%** – the fifth hike of 2026 and the highest since late 2008.
- The Board was **split 6–3**; three members wanted to hold at 4.60%.
- The RBA does not expect inflation to fall **below 3% until late 2027**, about three quarters later than it previously forecast.
- **ANZ** expects a pause at 4.85%, but says a December (or less likely February) hike is possible; Cotality sees no cuts before the second half of 2027.
- **Consumer sentiment** fell to 78.2 in November, a four-year low; mortgage-holder sentiment hit a record low.

4.85%
Cash rate – highest since late 2008

6–3
Board vote for the hike

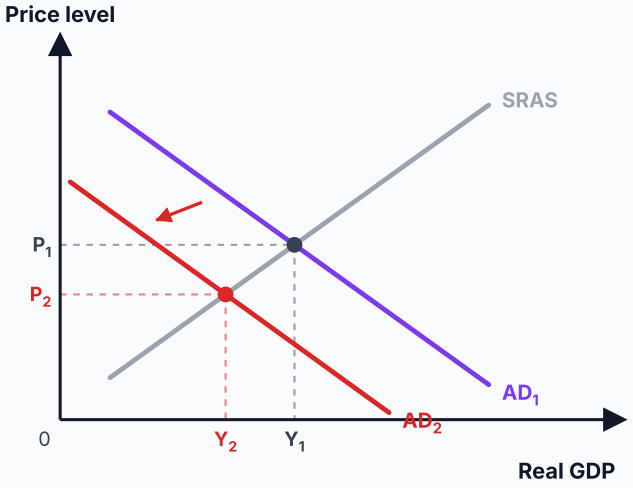
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Rate hikes in 2026

78.2
Consumer sentiment, Nov (from 80.4)

Cash rate: the interest rate on overnight loans between banks, set by the RBA as its main policy tool.
Transmission mechanism: the channels through which a cash-rate change affects spending, output and inflation.

DIAGRAM

What the RBA is trying to achieve



Higher rates raise mortgage repayments and reduce borrowing. This week's record **15.5% fall in new home loans** and slumping sentiment show this at work.

Consumption and investment fall, shifting aggregate demand from **AD_1 to AD_2**. The price level eases (**P_1 to P_2**), but output falls (**Y_1 to Y_2**).

Exam angle: Monetary policy works with **time lags** of up to two years. The 6–3 split shows the Board is divided over how much tightening is already "in the pipeline" – a key limitation of the policy.

FLOW CHART

The transmission mechanism, with this week's evidence

Cash rate up to 4.85% → Mortgage rates up; new lending −15.5% → Sentiment at 78.2; spending slows (AD left) → **Inflation eases towards 2–3%**

SYLLABUS LINK
Topic 4 – Monetary policy: RBA decisions, the transmission mechanism, and the limitations of monetary policy (time lags).

TRY THIS
Analyse the transmission mechanism of monetary policy, using recent data on lending and consumer sentiment.
(6 MARKS)

Sources — ABC News, 3 Nov: abc.net.au/news/2026-11-03/rba-lifts-interest-rates-november-2026-highest-rate-in-18-years/107340050 · ABC live blog, 11 Nov: abc.net.au/news/2026-11-11/asx-markets-business-live-news-nov-11/107370848 · Westpac IQ: westpaciq.com.au/economics/2026/11/consumer-sentiment-november-2026 · AAP/InDaily: indailyqld.com.au/news/just-in/2026/11/11/tax-changes-spur-record-fall-in-investor-home-loans

Figures as reported; diagrams are illustrative, not to scale.